

COMPARATIVE RATES OF RETURNS

CATEGORY	1 year	3 months	1 month
Sensex	27.50%	21.09%	-2.66%
NIFTY	39.34 %	-9.36 %	1.78%
Gold	35%	22.43%	6.25%
Liquid Plus Debt Fund	8.3%	2.05%	0.63%

over. Explains Rajan Mehta of Benchmark Mutual Fund: "In times when interest rates are high, it does not make sense to invest in gold as it does not yield any return. But when interest rates are down, it makes sense to hold gold as many US investors are doing currently."

Given that neither the global uncertainty nor the crude prices look likely to abate anytime soon, the world's biggest gold consuming nation, at 773 tonne per annum, will have to shell out a lot more for the metal this year. In 2006, Indian gold consumption was a little over 721 tonne, which grew by a mere 7 per cent in 2007 to 773 tonne, thanks to rising prices. Bullion traders like Kumar expect gold to touch \$1,000 per ounce this week since it has been rallying even after breaching \$975 in early March.

Till 2004-05, institutional investors did not have much of a choice when it came to asset allocation. But with the launch of the Exchange Traded Funds (ETFs) for gold, vast sums of money are now pouring into such listed instruments. ETFs are backed by a real asset like gold and in situations where there is uncertainty, fund managers prefer to park money in such safe havens. Launched in 2004 and currently listed on stock exchanges in Australia, France, Mexico, Singapore, South Africa, Switzerland, India, Turkey, Britain and the US, ETFs are 100 per cent backed by physical gold held mainly in vaults and track the bullion price almost perfectly. However, they trade just like normal shares or investment trusts. The volume of gold held under ETFs totals around 828 tonne, valued at \$22 billion, according to WGC.

Overall investment demand for gold has been growing exponentially

since the launch of ETFs as they substantially reduce the cost of holding gold. Says Shah: "Globally, ETFs have become very popular, which is a factor that has driven up the prices of gold." However, in India, the ETF fever is yet to catch on as the country is a huge jewellery consuming market at 558 tonne. Currently, gold worth Rs 500 crore is parked in Indian ETFs. Experts believe that gold has not yet bottomed out and this is just the beginning of the uptick. The same reasons which are driving the stock market into a bearish mood are also contributing to investors' confidence in gold, which has always been considered a hedge against inflation. In an Alchemist publication, Suki Cooper of Barclays Capital, London, forecasts that gold prices will hover between \$690 and \$1,000 in 2008, "with the dollar stabilising at its recent lower levels and investment demand remaining strong."



NEHA NATH

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—RAJAN MEHTA
ED, Benchmark Mutual Fund



"WHEN DOLLAR FALLS, COMMODITY PRICES MOVE UP AND INVESTORS HEDGE AGAINST INFLATION VIA GOLD."

—S. NAGANATH
MD&CEO, DSP Merrill Lynch Fund Mgrs

With experts not willing to bet on the recovery of the greenback, institutional investors who have parked their money in dollar-backed assets are now moving into "safe havens" like gold. The dollar has depreciated by almost 10 per cent against the Euro to touch a lifetime low. Says S Naganath, MD & CEO of DSP Merrill Lynch Fund Managers: "It's a known fact that whenever the dollar falls, commodity prices move up and investors try to hedge against inflation by investing in assets like gold." The fund house launched a fund which will invest in Black Rock World Gold Fund that invests in companies involved in gold mining. Launched in August 2007, the fund is already up by 60 per cent, thanks to the smart rally in gold prices. To top it all, consistent rate cuts by the US Federal Reserve are only contributing to the dollar tumbling further. A rate cut tends to weaken the dollar as investors shift assets for better returns.

So if you are planning to diversify your portfolio, gold is a good bet given that prices of the metal are slated to rise considering high oil prices and consequent inflation will continue to eat into dollar. Analysts don't expect any show of strength from the US or liquidity in the stock markets till the sub-prime crisis is truly over. Till then gold will enjoy a free run.